Taper Tantrums

The ‘taper tantrums’ that reverberated across the world, setting off capital flight from emerging markets and plunging their currencies to new lows, were triggered by a statement in May 2013 by Ben Bernanke, the then chairman of the US Federal Reserve, that they were considering gradually tapering their asset purchase programme, popularly known as ‘quantitative easing’.

I would have thought that any news like this, implying that the American economy, the epicentre of the global financial crisis, was showing signs of a robust recovery, would have been cheered by the financial markets; instead, the panic sell-off showed that investors, used to the ease of abundant liquidity, were unprepared for the ‘punchbowl’ being snatched away. The transition from the comfort of making investment decisions in a world of ample liquidity to the challenge of making investment decisions based on economic fundamentals was always going to be a difficult one; the reaction to Bernanke’s statement showed that it could even cause panic.

As capital fled in the tidal wave of taper tantrums, the rupee tumbled steeply from ₹55.52 to a dollar on 22 May 2013, the day after the Bernanke statement, to ₹67.03 on 4 September 2013 when I stepped down from office, recording a depreciation of 17 per cent in just a little over three months.[1]

Changing Perspectives on the Exchange Rate

I have often been asked if there were differences between the government and the Reserve Bank on exchange rate management. The short answer is, not very much. There was a time, even after the regime-changing economic reforms of 1991, when the political class in India looked upon a strong exchange rate as a sign of economic might and a depreciation of the currency as an erosion of that might. However, with India’s rapid integration into the global economy, and two-way movements of capital as well as exchange rate, that emotional perception has yielded to a more